

TABLE II
WORKING CAPITAL PER MONTH

1. STAFF AND LABOUR				
Designation		Number	Salary (₹)	Total salary (₹)
Manager		1	20,000	20,000
Production engineer		1	17,000	17,000
Sales and marketing personnel		2	15,000	30,000
Accountant		1	15,000	15,000
Purchase and stores personnel		1	16,000	16,000
Skilled workers		2	8,000	16,000
Semi-skilled workers		2	6,000	12,000
Watchman and peon		1	5,000	5,000
Total				131,000
2. RAW MATERIALS				
Description	Indian/ Imported	Quantity	Rate (₹)	Value (₹)
Cabinet/housing (metal)	Indian	150	400	60,000
Capacitors	Indian	150	200	30,000
Fluorescent display	Imported	150	12,000	180,000
Integrated circuits	Imported	150	1,500	225,000
Load cell (strain gauge)	Imported	150	4,000	600,000
Mechanical hardware	Indian	150	500	75,000
Noise filter	Imported	150	200	30,000
Noise filter	Imported	150	400	60,000
Rectifier	Imported	150	150	22,500
Resistors (diodes and switches)	Indian	150	250	37,500
Transformer	Indian	150	150	22,500
Transistors	Indian	300	200	60,000
Wires, cable connectors, consumables, packing material, etc	Indian	150	400	60,000
Total				1,462,500
3. UTILITIES				
Description				Average cost (₹)
Power				8,000
Water				1,000
Total				9,000
4. OTHER CONTINGENT EXPENSES				
Item				Amount (₹)
Advertisement				5,000
Travelling and conveyance expenses				10,000
Transport and packaging				30,000
Miscellaneous expenses				5,000
Postage and stationery				5,000
Repair and maintenance				5,000
Insurance and taxes				5,000
Rent (per month)				10,000
Total				75,000
TOTAL WORKING CAPITAL PER MONTH (1+2+3+4)				1,677,500

Directorate of Department of Information Technology, Ministry of Communication and Information Technology, to manufacture products conforming to Bureau of Indian Standards (BIS).

Financial analysis

Table I shows fixed capital, that is, land and building, machinery and equipment. Table II shows the cost of working capital for three months.

TABLE III
TOTAL CAPITAL INVESTMENT

Total capital investment	Cost (₹)
Fixed capital	605,250
Working capital for three months	5,032,500
Total	5,637,750

TABLE IV
COST OF PRODUCTION PER ANNUM

Financial analysis	Cost (₹)
Depreciation on plant and machinery @ 10%	37,750
Depreciation on office equipment and furniture @ 20%	20,000
Depreciation on tools, dies, jigs and fixtures @ 25%	15,000
Recurring expenditure per annum	20,130,000
Interest on total capital investment @ 16%	902,040
Total	21,104,790

TABLE V
TURNOVER PER ANNUM

Item	Quantity	Rate per unit (₹)	Total sales (₹)
Electronic weighing scale	1,800	13,500	24,300,000

Disclaimer

The project report can be modified/tailored to suit individual entrepreneurship qualities/capacities, production programs and location characteristics, wherever applicable.

Total capital investment is given in Table III. Cost of production per annum is shown in Table IV. Turn over per annum is indicated in Table V.

Profit before taxes = Turnover per annum - Cost of production per annum = ₹ 3,195,210

$$\text{Profit ratio} = \frac{\text{Profit per annum} \times 100}{\text{Sales per annum}} = \frac{3,195,210 \times 100}{24,300,000} = 13.14\%$$

$$\text{Rate of return} = \frac{\text{Profit per annum} \times 100}{\text{Total capital investment}} = \frac{3,195,210 \times 100}{5,677,500} = 56.27\%$$

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References

1. <https://nextwhatbusiness.com>
2. www.inscale-scales.co.uk/introduction-to-weighing.html
3. www.dcmsme.gov.in